The Children's Investment Fund

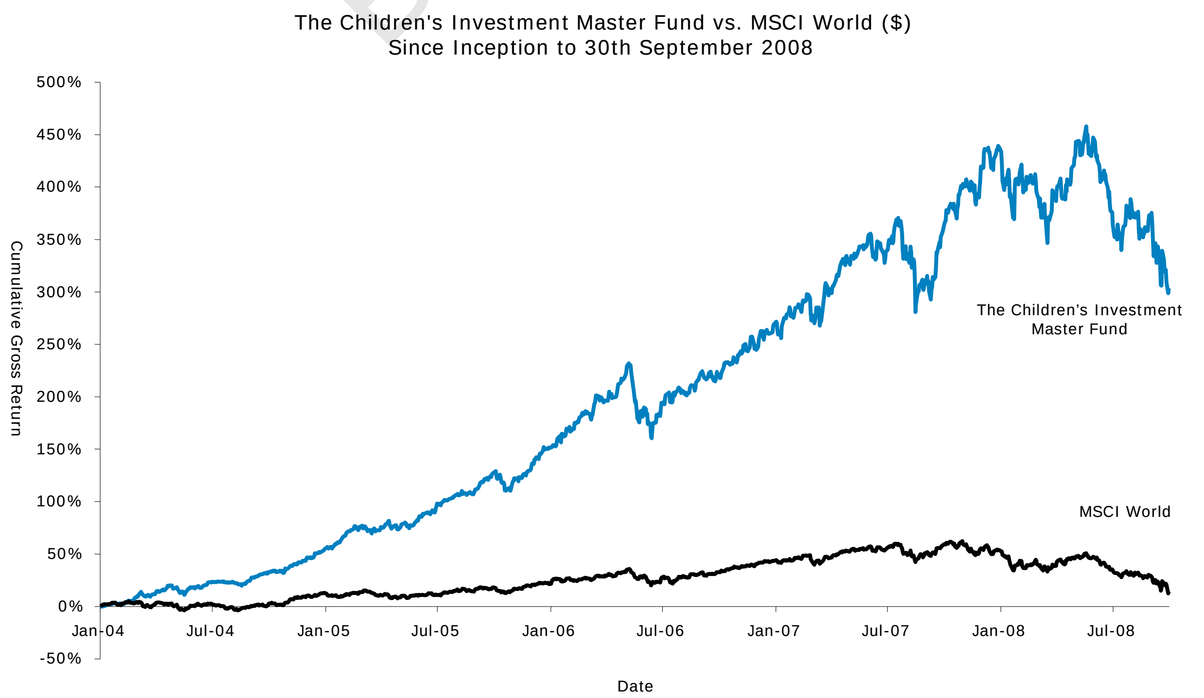
The Children's Investment Fund – Q3 2008 Report

1. Fund Performance

Returns for this period, net of both management and accrued incentive fees for the fund, are shown in the table below:

Period	Master Fund Assets (€m)	Class A (3yr) $	Class A (3yr) €	Class C (5yr) $	Class C (5yr) €	MSCI World ($)
Sept 2008	10,257	-14.88%	-15.08%	-14.88%	-15.08%	-12.08%
Aug 2008	11,639	-2.60%	-2.46%	-2.60%	-2.46%	-1.60%
July 2008	11,233	+1.81%	+2.02%	+1.81%	+2.02%	-2.53%
Q3 2008		**-15.59%**	**-15.49%**	**-15.59%**	**-15.49%**	**-15.67%**
Q2 2008		**-2.56%**	**-1.96%**	**-2.56%**	**-1.96%**	**-2.45%**
Q1 2008		**-9.73%**	**-9.54%**	**-9.73%**	**-9.54%**	**-9.53%**
2008		**-25.76%**	**-25.05%**	**-25.76%**	**-25.05%**	**-25.58%**
Annualised		+26.17%	+25.68%	n/a	n/a	+2.82%
Inception		+201.62%	+196.11%	n/a	n/a	+14.10%

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures refer to those since January 1, 2004 inception.
Source: Citco Fund Services (Dublin) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP.



Notes: Performance for The Children's Investment Master Fund is gross of management and incentive fees and includes dividends reinvested.
Source: Citco Fund Services (Dublin) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP.

In USD terms the fund ended down circa 16% for the quarter and down some 26% for the year, both in line with MSCI World.

The performance of the fund this quarter and year to date has tracked world equity markets which have collapsed with the banking crisis and resulting recession that is now inevitable. In hindsight the only thing we could have done to avoid the falls in the fund was go to cash or aggressively hedge with futures. Worrying about basis risk of hedges proved erroneous because in a crash virtually all stocks have correlated as one. Recently aggressive liquidation of stocks by funds has caused many stocks to deviate substantially from intrinsic value in any scenario short of a widespread collapse in the world economy. We had thought that taking a long term view on strong companies at cheap prices would be enough to weather the storm we have been worrying about since last year August. This has proved not to be the case. All stocks are being sold irrespective of fundamentals now it seems to us.

I will address our thoughts on outlook later in this letter.

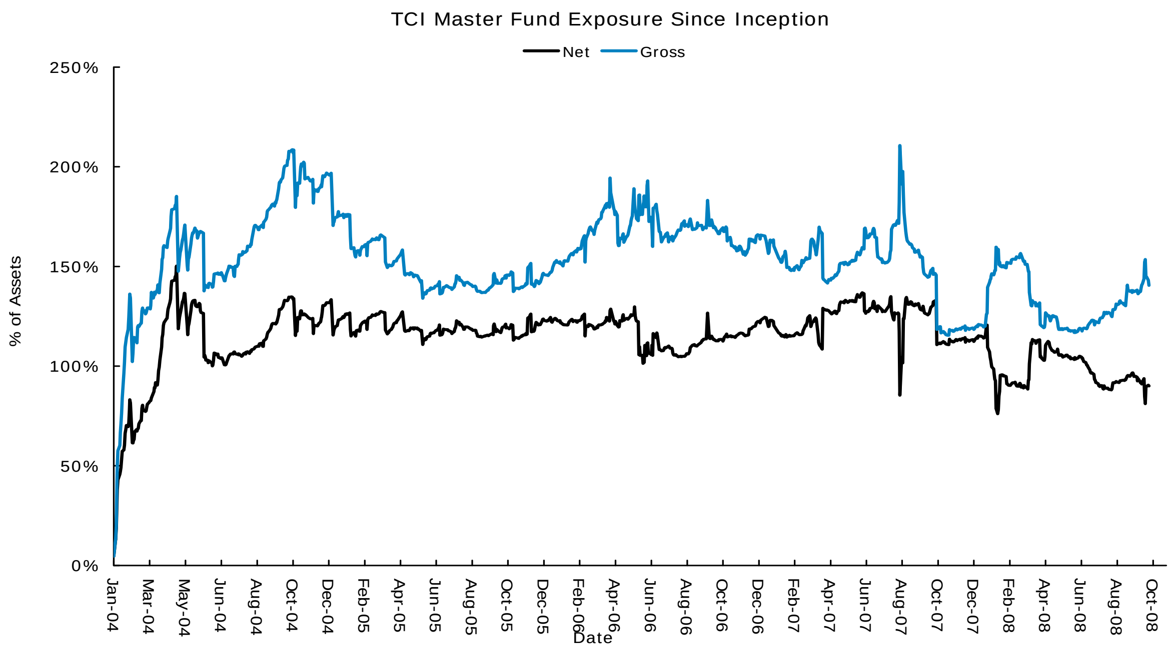
2. Key Fund Data

a. Exposure Summary

% of Master Fund Net Assets				
Period	**Longs**	**Shorts**	**Gross**	**Net**
End Sep 2008	116%	-25%	141%	91%
End Aug 2008	117%	-21%	138%	96%
End Jul 2008	114%	-21%	135%	93%
End Jun 2008	112%	-15%	127%	97%
End May 2008	113%	-9%	122%	104%
End Apr 2008	116%	-7%	123%	109%
End Mar 2008	122%	-10%	132%	113%
End Feb 2008	123%	-34%	156%	89%
End Jan 2008	123%	-28%	151%	95%

Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

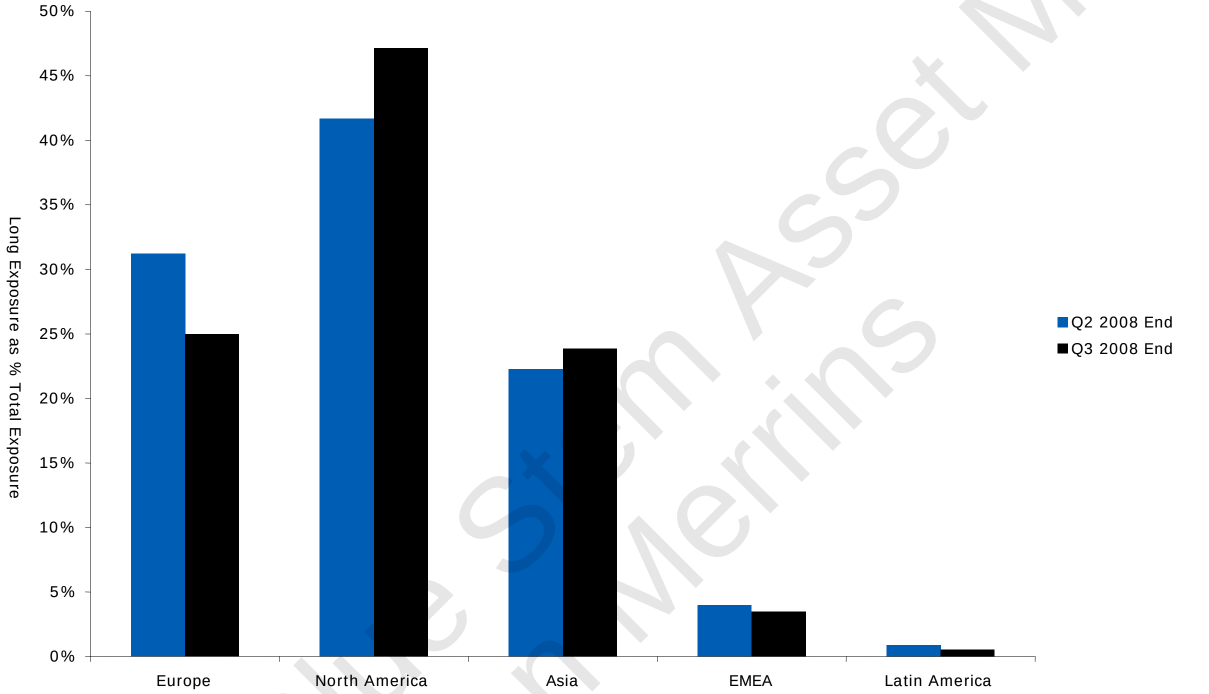
As of 6th October, the fund's exposures are long approximately 109% in stocks and 91% net long.



Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

During Q3 2008 the net, gross and short exposures only varied slightly.

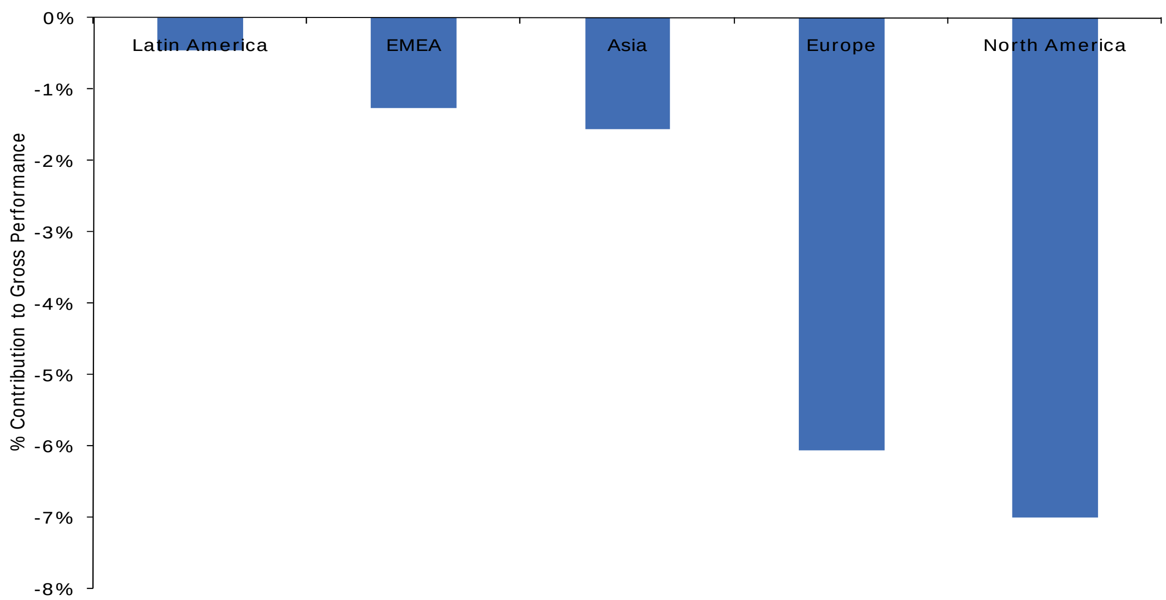
b. Q2 2008 vs. Q3 2008 Portfolio Geographical Exposure



Notes: Figures are re-based to a total of 100 and are on the long book only. EMEA = Emerging Europe, the Middle East and Africa.
Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

Over the quarter, the fund reduced its exposure to Europe, deploying the capital to increase allocations to North America and Asia.

c. Q3 2008 Performance Contribution by Geography



Notes: EMEA = Emerging Europe, the Middle East and Africa.
Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

During Q3 2008, all regions were detractors to performance with North America and Europe being the largest two negatives.

d. Q3 2008 Performance Contribution by Position

Position	% Contribution to Q3 Gross Performance
Major Contributors	
Indian Banks	+1.0%
Hynix	+0.5%
Sony (short)	+0.4%
Chicago Mercantile Exchange	+0.3%
Major Detractors	
US Railroads	-3.9%
US Credit Card Processors	-2.9%
Salzgitter	-1.3%
Deutsche Boerse	-1.1%

Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

3. Portfolio Review for Q3 2008

Exchanges: Deutsche Boerse and CME

The past quarter has seen several important themes playing out for security exchanges.

Exchange trading activity levels recovered strongly in September

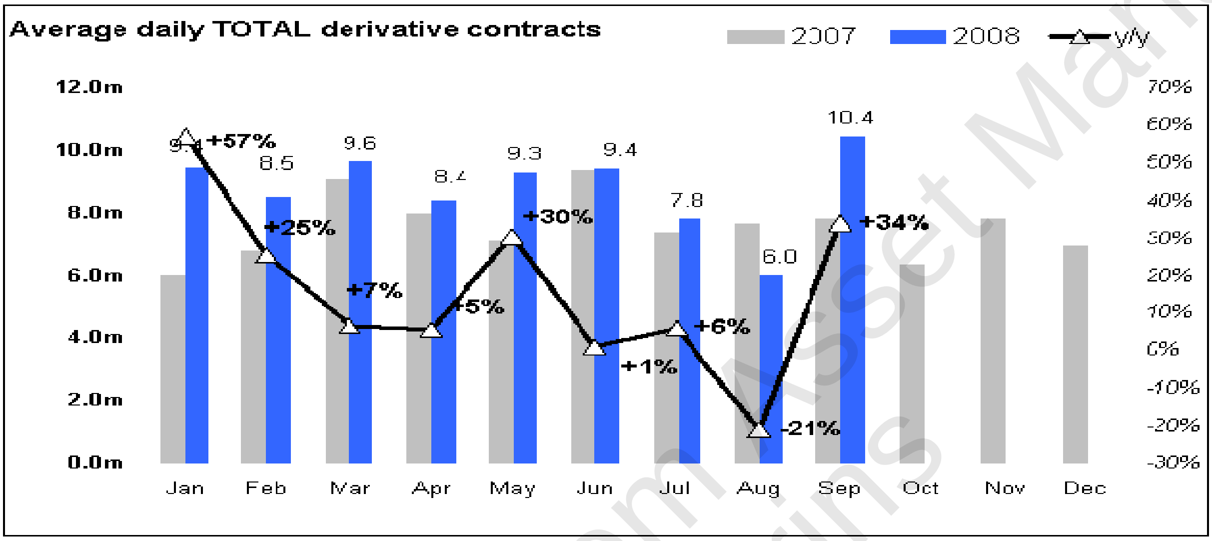
On the positive side, the high level of volatility in equity and debt markets has led to a very high level of trading activity in derivatives since the start of September after a very slow August. September was a record month for Eurex (+34% vs. September 2007). CME's volumes in September were +19% vs. September 2007.

The key drivers of the activity in September for Eurex were the recovery in fixed income (+7% vs. September 2007), which has been weak most of the year, and the still very high level of equity options in Europe (+30% vs. September 2007) and even more in the US (+60% vs. September 2007), which is driven more by the continuous shift of OTC activity. Equity futures are still growing at a stellar 59% vs. September 2007.

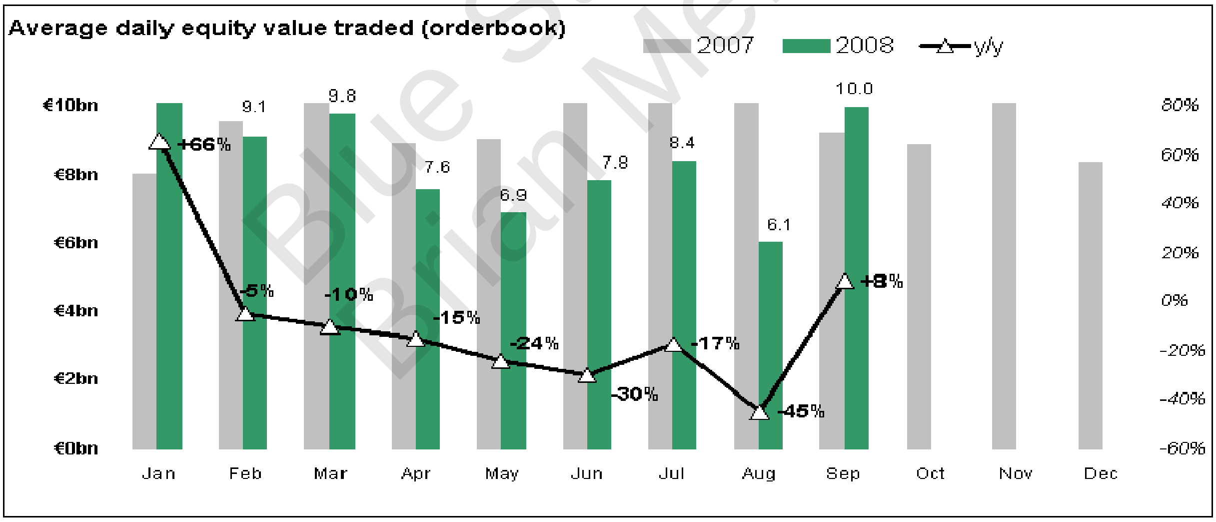
CME's growth has been driven by equity futures (+66% vs. September 2007) and foreign exchange (+32% vs. September). The Fixed income activity of CME is still being penalised by the lack of activity on the floor although despite this fixed income futures were up 11% in the month.

September cash equity value traded was also up strongly at 18% year on year. Clearstream continues to grow assets under custody as it benefits from the strong growth in issuance of government bonds and their relative strength of relationships with central banks rather than investment banks compared to their competitor Euroclear.

The graphs below show the monthly activity on Deutsche Boerse's Eurex and cash equities businesses.



Source: Morgan Stanley.



Source: Morgan Stanley.

<u>Opportunity grows for exchanges to capture more of OTC market</u>

Secondly, following the failure of Lehman Brothers and AIG and crisis of confidence in investment banks as counterparties, the market and regulatory authorities are now realising the high level of counterparty risk that exists in the system from OTC derivatives issued by banks and insurance companies but not cleared or traded on exchange. The OTC derivative market is some 4-5x the size of the exchange traded market.

We are seeing evidence of users moving some of their business on the exchanges when they have an equivalent product to a bank. It is worth noting that both CME and Eurex clearing houses have been able to handle the high volatility and failure of two large players without any defaults and in a very short period of time. Moreover, regulators and some banks view it now as imperative to move the credit default swap to be cleared through a central clearing house. In the US the Federal Reserve is urgently trying to help push a solution which looks likely to be either the Clearing Corporation combined with ICE or the CME.

Fears grow that deleveraging and hedge fund declines will collapse volumes

On the negative side, the market remains concerned about the medium term level of activity given the expected reduction in hedge fund activity as withdrawals are expected to be very high from the industry. Our view is that there is a structural growth in the type and number of users, which together with the growth in OTC contracts moving on exchange for clearing and trading, will more than offset the deleveraging impacts over time.

As a downside scenario, even if trading activity were to be down 10% next year vs. 2008, Deutsche Boerse shares will still be trading on 12x earnings and CME at around 20x 2009 EPS. Deutsche Boerse trades today on less than 10x current year earnings estimates. Long term growth in earnings should remain at least 10% for Deutsche Boerse and at least 15% for CME. This would result in 20% pa total returns to equity given that the growth is virtually capital free.

TCI forms a group with Atticus to pursue strategic alternatives at Deutsche Boerse

During the quarter we announced the formation of a formal group with Atticus with a combined 19% of the shares of Deutsche Boerse. The purpose of the group was announced as to pursue strategic alternatives for the company including changing supervisory board members. We have also formally requested an EGM to remove the chairman of the supervisory board who has just announced his resignation as chairman of Hypo Real Estate, a German bank which has had to be rescued recently by the German government.

Banks

Developed Market Banks

Very limited exposures

Since the start of the summer we have eliminated our holdings in Credit Suisse and Garanti Bank over concerns that wholesale funding for banks would remain closed. Our only material long holding in banks (excluding India) is in Intesa San Paulo which remains under 2% of NAV. Despite being fully deposit funded and having limited trading income and conservatively managed the non-voting shares have been de rated now to less than 4x our estimate of 2009 earnings and more than a 15% dividend yield. They now trade below tangible book. In a credit scarce world a fully deposit funded bank should become more valuable because of the pricing power that they can extract. Interestingly they also rank senior to the common shares in bankruptcy. We are short some 2% of developed country banks currently. We have no long or short positions in insurance shares since the formation of the fund given our inability to understand what the balance sheets of these companies contain.

Fragility of the banking system

In Europe approximately a third of the funding needs have come from wholesale funding which has become shut except for overnight borrowing for all but the largest banks. This reliance on non-deposit funding, places the sector in a precarious position. Over time we believe the banking sector's reliance on external non-deposit funding, which has driven increasing leverage on assets to an equity basis, will reverse resulting in painful deleveraging for the economy.

As stresses in the credit markets increased it has resulted in banking failures and government rescues in Europe and the US. Although central banks have provided ample liquidity to banks at the short end of the funding structure, liquidity remains scarce at the longer end as evidenced by 2 year swap spreads at 160bps compared to 80bps at the start of the year (please refer to Bloomberg chart below).

Source: Bloomberg LP.

Indian Banks

The operating performance of our Indian Banks portfolio was very strong during the last quarter, in spite of the general slowdown in the world economy. Banks have been slowing the growth in lending to around 25% in the quarter. Management is very focused on margins and non performing loans (NPLs).

In September we visited management at all our key bank holdings in India. This has led us to believe that they will report earnings which will positively surprise the market. Our recent trip to India gave us increasing confidence that the liberalisation of the banking sector continues. Over the medium term, we believe that any material slowdown in the Indian economy will have a much more limited impact on the banks earning than expected by the market.

First, state owned banks risk monitoring process and level of coverage of NPLs will not be comparable with the last cycle. For example, Punjab National Bank has created a large number of regional data centers with the sole objective to monitor and recover NPLs. Second, Indian banks' profitability is massively impaired by the large cash and bond requirements from the Reserve Bank of India. Nearly a third of the balance sheet of banks is required to be kept in government bonds and cash yielding no profit. Assuming that banks could transform these cash and bonds into lending, the RoA for the industry would go from 1.5% to 3.5%. The RBI has already lowered the bond requirement from 25% to 24% last week. The cash reserve ratio was also significantly cut last week. We do expect both to be cut further during the year which will increase banks profitability and balance any potential increase in provisions.

Our bank holdings trade on average at around year end tangible book value and 5-6x forward earnings for greater than 20% long term earnings growth. On average they are nearly fully deposit funded.

US Railroads: Union Pacific and CSX

Union Pacific

Union Pacific is performing well operationally in spite of the weak macroeconomic environment. EPS grew 22% in the first half of this year, exceeding both our and consensus forecasts. Earnings growth was driven by strong pricing and productivity, which offset negative volumes. The company's recent positive pre-announcement of their third quarter earnings confirms this strong performance is continuing. Third quarter earnings are likely to grow in excess of 20% in spite of volumes declining 5% (partly due to poor weather) and operating metrics are improving significantly.

Our conviction in the thesis of sustainable pricing power and productivity opportunities has been strengthened by the Union Pacific Investor Day and our recent company visit where we met privately with top management.

We believe Union Pacific can grow earnings over 20% pa including share repurchases until at least 2012. Today, the company has approximately 20% of its revenue base running under very old 'legacy contracts' which are priced at a substantial discount to the current market price for rail transportation. These contracts will be re-priced over the next few years which gives us high visibility on future revenue growth. On average we think these contracts will be renewed with pricing up well over 50% on historic levels. Furthermore, Union Pacific has the lowest operating margins amongst its peers and a management team that is committed to improving the efficiency of their business. So far this year, they have delivered and Union Pacific has offset *all* of its cost inflation with enhanced productivity. We believe that it is realistic to assume 2% pa productivity going forward for several years.

Volumes will of course be impacted by the soft economy but we believe the diversity of the revenue base and defensive nature of some of the products hauled provides some protection against a weak macroeconomic climate. Although volumes related to housing, automotives and consumer discretionary goods are weak, Union Pacific also hauls utility coal, solid waste, grain and food products which are more stable. Overall, although we forecast another negative year for volumes next year, we do not believe this will impact the company's ability to obtain price increases, realise productivity savings and grow earnings as forecasted. The continued re-pricing of legacy contracts and significant competitive advantages of rail transportation give us conviction that strong pricing is sustainable.

Commodity Type	**% of Revenue**
Utility Coal	21%
Agricultural	18%
Intermodal	17%
Chemicals	15%
Automotive	9%
Industrial Products	20%

Source: Union Pacific Q2 2008 Company Reports.

In May, the company provided long term guidance to 2012 which forecasts pricing will grow 5-6% annually and earnings "mid-teens". We believe this is conservative. Without any volume growth at all for five years, and without any benefits from productivity, Union Pacific will grow earnings 15% annually from pricing improvements alone. If management can achieve their 'aspirational' goal of offsetting all of cost inflation (3% annually) with productivity, earnings will grow at a rate of 20% before share buybacks. We assume that 2% pa of productivity can be achieved pa. Our thesis is not predicated on volume growth but given the fixed cost nature of the railroad operating model, any improvement in volumes would elevate the company's growth rate.

Today Union Pacific trades at 11x 2009 P/E 2009 (e) and 16x 2008 free cash flow (after maintenance capex) which represents a 6% entry yield. With sustainable growth of over 20% pa including share repurchases we believe we can attractively compound in the stock at 20%+ for many years. Union Pacific stock was down 6% in the quarter. Since the end of the quarter the stock has erased its gains YTD and is now down 14% for the year.

The railroad sector has experienced a dramatic valuation de-rating in the past two months. Since 2004, when the industry structurally and sustainably changed, the sector has traded at 13x-17x forward earnings compared to ~10x-11x today. Given the outlook for sustained 20%+ earnings growth and a low multiple on a relative and absolute basis, railroads stocks now represent strong value.

CSX

The proxy contest was finally resolved successfully in September. The CSX Annual Meeting was held at the end of June and shareholders voted for four out of our five nominees. However, after a protracted review process, the company seated only two directors (Alex Behring and Gil Lamphere). Following the recent United States Court of Appeals for the Second Circuit's decision not to enjoin the voting of shares held by TCI and 3G in connection with the Annual Meeting, CSX finally confirmed the appointment of our two remaining nominees (Tim O'Toole and myself) to the Board. The new board members have undergone their board orientation and everyone is now focused on constructively working together. We thank you for all your support during what was a trying process.

The business is performing very well in spite of the weak macroeconomic environment. EPS grew 40% in the first half of this year as strong pricing offset negative volumes. Just this past quarter on September 11th, the company raised its 2008 and long term guidance, confirming the business' strong momentum. CSX now expects 2008 earnings to grow more than 35% in spite of negative volumes.

Management at the same time raised their long term EPS growth guidance. CSX now expects to grow earnings per share 20-25% annually from 2008 through 2010. This implies 2010 EPS of ~$5.50 compared to the company's pre proxy contest forecast of ~$4.20 (a 31% uplift).

Similar to Union Pacific, our conviction in the thesis of sustainable pricing power and productivity opportunities at CSX remains strong following our recent trip to meet privately with top management. The company is focused on pricing its services to reflect their value to customers and the combination of rail's competitive advantages and the re-pricing of legacy contracts should allow the company to sustain its current ~6% pricing growth going forward. CSX also has a significant amount of its revenue base running on under-priced legacy contracts, again providing some degree of visibility to revenue growth.

The Company believes it can achieve $400m in productivity over the next few years which represents offsetting around two-thirds of cost inflation through 2010. These savings have been identified in detail at the local operating levels. As outlined in our various proxy presentations, we believe the eventual opportunity could be greater than this and our board membership will enable us to examine this further.

On volumes the story is much the same as with Union Pacific. CSX is also benefitting from a resurgence of US export coal traffic from the east coast as global trade patterns evolve as well as a switch from truck to rail on intermodal traffic.

Commodity Type	% of Revenue
Coal	28%
Agriculture / Fertilisers	14%
Food/Consumer	4%
Waste / Aggregates	6%
Forest Products	7%
Metals	8%
Chemicals	13%
Auto	7%
Intermodal	13%

Source: CSX Q2 2008 Company Reports.

Today CSX trades at ~10x 2009 P/E and 12x 2009 free cash flow (after maintenance capex) which represents an 8% entry yield. With sustainable growth of over 20% pa we believe we can attractively compound in the stock at 20%+ for many years even with weak volumes in 2009 due to pricing power and productivity. CSX stock was down 13% in the quarter. Like all the railroads, CSX has de-rated violently since the end of the quarter erasing all of its gains for the year. CSX stock is now down 4% YTD.

We continue to monitor the regulatory situation in Washington closely. We do not expect any materially negative developments near term but remain watchful. Congress recently passed a Rail Safety Bill which we expect will be turned into law. It does not have a material impact on our rail thesis.

Credit Card Processors: MasterCard and Visa

MasterCard share price finished the quarter down 33% and Visa down 22%. We entered the quarter with no position in Visa having sold down entirely in Q2, but retained our position in MasterCard. We reinitiated a position in Visa towards the end of the quarter.

Over the summer months accelerating negative macro-economic data from the US and Europe have significantly increased focus on the economic resilience of the MasterCard and Visa business models. Rising unemployment and weak retail sales figures have raised fears that a rapidly deteriorating consumer environment could overwhelm the underlying positive secular trend of a transition from cash and cheque to plastic payments.

However, the operating performance of the two companies in the second calendar quarter and trading updates through the summer have indicated that business trends are holding up very well, ahead of our expectations for this point in the cycle.

In Q2 MasterCard reported continued strong revenue growth of 25%, and earnings growth of 43% (adjusted from the American Express settlement). Importantly plastic payment volume trends in the US at +8% (+10% for Visa), and internationally at +20% adjusted for currencies, illustrate the dynamism of secular trends away from cash and cheque towards plastic in the face of stagnating consumption across a number of major markets.

On a product basis, Debit and Pre-Paid continue to grow at strong double digit rates. This reflects their positioning at the forefront of cash/plastic substitution and the much higher share of non-discretionary spends in those categories. Discretionary spend is clearly under pressure, and this is partially reflected in decelerating growth rates from spend on credit cards, as is to be expected in the current consumer and employment environment.

Nonetheless, with substantial sections of the US economy still reliant on cash and cheque, we would continue to expect plastic substitution to be a powerful driver of payment volume growth, even in one of the most mature plastic markets in the world. Cash and cheque remain the primary payment tool for roughly 35% of personal consumption. Visa and

MasterCard are aggressively driving plastic usage in new and still underpenetrated categories such as small ticket items, bill-pay, government and social security, remittances and mobile. We believe this will substantially offset the drag from a sustained period of negative real consumption in the US. In both instances we model what we believe to be a reasonably severe economic scenario for the next two to three years.

On a valuation basis, both Visa and MasterCard have derated significantly from their highs. MasterCard on our estimates now trades on 14x forward earnings, where a 20x multiple has typically been the floor. Similarly Visa has de-rated to 17x forward earnings ex cash. Given the robust market structure, very favourable economic model, and what we view to be an outlook of many years of 20-30% earnings growth, we believe these ratings are highly attractive and we have increased our holdings in the two companies. Neither company has debt.

Freight Forwarders: Kuehne and Nagel and Expeditors

Our Kuehne and Nagel long position saw a 24% share price fall over the quarter while our Expeditors short position recorded a 19% share price fall. Concerns over a rapid slow down in trade impacted both businesses. Both companies exhibited the qualities they have shown over previous cycles, Kuehne reported currency neutral earnings growth in Q2 of 20%, while expeditors reported 13% currency neutral growth, in a low single digit trade environment. Both benefit substantially from being best in class and among the largest operators in a scale economics market, which they are professionalising and consistently taking significant market share from smaller weaker operators.

However, there are two noticeable distinctions between the two companies. First and most obviously is the rating. Kuenhne trades on 10x forward earnings (adjusting for the large cash position), whereas Expeditors trades at 20x earnings. Second, Kuehne is a truly global network operating in nearly all markets, with a strong market position. This insulates the group from any particular economic development, improves its proposition to global accounts and yields a broader network to leverage. By contrast, while highly successful historically, Expeditors remains materially over-proportionally exposed to the US consumer and US import trade-lanes, as a leading trans-pacific consumer goods orientated freight forwarder.

We believe the economics and track record of freight forwarding overall market cycles is highly attractive and rarely equalled in other markets. For well positioned players, the rewards given the huge market share opportunity are substantial. We believe that Kuehne is one of the best positioned players globally, and on 10x earnings is on an undeservedly distressed rating. Expeditors, while historically very successful, is likely to face unusually strong pressures through this cycle given its transpacific and US consumer goods exposures, and the share remains vulnerable on 20x earnings.

Red Electrica

Having traded flat in the first half of 2008, Red Electrica's share price has fallen circa 30% since the start of the year. The business continues to perform in line with expectations reporting 21% earnings growth in the first six months of the year. Management has also reiterated its guidance that earnings will compound at or above 15% pa over the next five years. The prospective dividend yield for 2009 gives the stock a 4% dividend yield. The stock now trades at just over 12x our 2009 EPS estimate having consistently been valued by the market at 20x forward EPS over the last 3 years. Even with no multiple re-rating a 20% IRR is likely in our view over the next 5 years. Our discounted cash flow analysis suggests 100% upside to intrinsic value.

We continue to believe that future earnings growth is highly visible as it is driven by authorised network investment rather than demand and consequently has no economic sensitivity. Regulatory risk is low following the approval of a new regulatory framework earlier this year. Financing risk is mitigated by strong cashflow and high interest coverage and very limited financing requirements through 2010.

Atlantia

Atlantia's share price fell 25% last quarter following down other European motorway stocks that fell sharply in May. It is now down over 45% year to date. A series of weak traffic data from the US and Europe has caused the market to question the perceived resilience of the sector in an environment of high oil prices and weak economic growth. Concerns have been exacerbated by the highly-leveraged financial model that the motorway sector has traditionally embraced. In this context, Atlantia's results have continued to prove extremely resilient with traffic broadly flat year on year in the first 6 months of 2008 and only marginally down through September.

Historic data indicates that traffic is more correlated to GDP than oil prices and has averaged growth in excess of 3% since 1970. Even through the two oil crises of the 1970s, when petrol prices in real terms were considerably higher than today, traffic on Atlantia's network increased by an average of 3%. Although we are rather pessimistic about the outlook for the Italian economy we believe traffic will continue to be supported by the absence of viable alternatives and the mainly short-distance non-discretionary nature of trips on Atlantia's network. Atlantia's balance sheet remains strong with interest cover of 4x and one of the lowest debt/EBITDA ratios in the sector.

The long-term stability of traffic and high operating margins of motorway companies support the reliability of DCF analysis. Using conservative traffic projections averaging less than 1% pa and a 9% cost of equity, we calculate Atlantia's intrinsic value as €27 per share (+100%). On today's capital structure we believe the IRR is around 14% until the end of the concession in 2038. It also has a 5% dividend yield.

J-Power

While we did not succeed in winning our proposals at its AGM to significantly improve shareholder value, we did capture 30-40% of the votes and management increased dividends by 15% as well as agree to install independent directors on its Board next financial year.

Operationally, the company is performing well and our thesis that J-Power has strong stable earnings is coming through. In fact, company dramatically increased guidance for the current half year earnings (by over 60%), positively surprising the market.

The Link REIT

Since the new CEO was installed late last year, the entire old management team has been replaced over the last 6 months in leasing, asset management, development and operations. Visible improvements have begun, especially in tenant mix improvements and rental reversions that are now more than twice that under old management team. Mall renovations are also being fast-tracked so they can capture market rents more quickly.

Having traded flat all year the stock recently collapsed 30% so that it is now trading on around a 7% dividend yield on our estimate for year ending March 2009 and 8% dividend yield for year ending March 2010. We believe that will grow at double digit for the foreseeable future. Company has one of the strongest capital structures with low gearing (23% debt to assets) and cost of debt at under 5%. As general level of interest rate falls, Link's defensive growth characteristics and high yield will become apparent. If Link grows dividends at 10% pa over the next 4 years and then trades at a 6% dividend yield reflecting the fact that growth will still remain at least in line with nominal GDP after that time we will see a 15% pa return for the next 4 years.

Finally, Link being a provider of every-day staple products to mass market not only allow its malls to weather any economic downturn, but potentially capture some down-trading shoppers. We are confident new management team will execute on Link's potential over the next few years.

Steels: Salzgitter, ArcelorMittal, ThyssenKrupp

Fears of a global recession and the unwind of the "long commodities/short financials" trade decimated commodity stocks, including the steel stocks we own (Salzgitter, ArcelorMittal, ThyssenKrupp), which are down 70% from their highs this year. We limited our steel exposure to less than 4% of the fund due to our general cautious stance towards commodities, and focused on Salzgitter, which we viewed as the most defensive steel equity given it had 30% (now 65%) of its market cap in net cash. While we continue to believe in our long-term investment thesis (now putting our steel stocks on 1x-3x normalised P/E), it was simply a mistake to have invested in any commodities while they were so "over-owned" and given the global economic outlook was uncertain.

The near-term outlook for the steel industry and steel stocks looks challenging, as there continues to be a "buyers strike" causing spot steel prices to decline 10-30% from their peaks this summer. The coincidence of the Olympics in China (with related factory shut-downs), the financial crisis, typical August slowdown in Europe and Ramadan in the Middle East make it difficult to understand to what extent demand is artificially vs. fundamentally depressed. We do not see a catalyst in the coming months that will reverse the downward trend in spot steel prices, and don't think steel stocks will perform until steel prices stabilise.

However, we believe the valuations are now discounting too bearish a scenario. Our steel stocks are currently trading at 3x-4x P/E on our downwardly revised 2009 base case. Salzgitter, our largest steel investment, is now trading almost at its net cash value. The stock is trading at €50 per share, and has net cash and treasury shares worth €32 per share, so you buy the actual steel business for only €18 per share. In 2008 the business will earn roughly €15 per share, and we expect it will earn at least €11 per share in 2009, and closer to €15 per share on a normalised mid-cycle basis. This puts the stock on close to 1x P/E excluding its cash and financial investments.

Even in a very bearish scenario, which we think is unlikely to occur, the steel stocks would be on 6x-7x P/E (Salzgitter 5x excluding the net cash). This bearish scenario would require a global decline in steel demand of 10-20%; it is worth noting that global steel demand has never fallen by more than 10% (data back to 1950). We believe proactive production cuts from major steel mills and the shutdown of non-profitable plants in China will keep the steel market in balance however, and keep our bearish scenario from materialising for any sustained period.

Longer-term we continue to believe that the steel market will be structurally under-supplied, as announced capacity increases will undershoot demand growth fueled largely by the urbanisation and industrialisation trends in China, India, Brazil, Russia, and other emerging markets. For example, India today consumes only 1/8th the steel per capita as China, and China still trails the developed world. This should result in steel prices reflecting replacement economics that will induce further capacity expansions. At replacement economics, our steel stocks trade at ~3x P/E, and Salzgitter trades at 1x P/E excluding the net cash.

All of our steel companies met or beat earnings in the quarter and all of them raised their full year 2008 guidance.

Aldar

Aldar was down 36% in the 3rd quarter in line and nearly in half year to date. Lower oil prices and fears of a decline in real estate prices and selling by hedge funds spooked foreign investors – foreigners reduced their stake in the company from 40% to 32%. However fundamentals are still very good for Aldar as migration to the UAE continues to be strong, raw materials prices should reduce cost inflation pressure and house prices are still going up – although in a more gradual way. We estimate that housing shortages will remain for at least another 5 years as pent up demand together with population growth continues to outstrip supply in Abu Dhabi. Even in Dubai we expect tightness in the housing market as completions are more or less controlled by the government and construction delays together with strong population growth keep the market tight.

The UAE should be a beneficiary of a slowdown in developed economies as more professionals are willing to move to the region and it is one of the few economies with net employment growth. We believe that the net present value of Aldar based on current projects is close to 5x fully diluted market cap. Our bear case is 3x the current market cap. Post 2011 when it is fully scaled up in developments we would expect the company to generate some $4bn of net profits for many years pa vs. a current market cap of $6bn. The company has more than adequate debt facilities for its development and has less than $1bn of net debt today.

Sterlite

Sterlite was extremely weak (down 42%) as the local stock market fell 25%, base metal prices were weak and management proposed a restructuring (subsequently cancelled) which would have been shareholder dilutive. In the 3rd quarter aluminium prices dropped almost 30% and are now trading below our normalised long term price. Our long term price of aluminium is based on the 80 percentile cash cost of production and 10% post tax return on capex. We believe that in the medium term the prospects for base metals such as aluminium and zinc are great as demand from emerging economies will offset weaker demand from developed economies. Sterlite trades at under 2x normalised free cash flow in 3 years time and x 4 current free cash flow using spot prices for this year.

Excluding buy out of minorities, the market cap is $6bn, net cash $3bn, value of power $1-2bn, NPV of growth capex $1.5bn giving an enterprise value of $3bn. Free cash flow using normalised prices is $850m this year and $2bn in 2 years time; Free cash flow using spot prices $750m this year and $1.5bn long term.

TransAlta

TransAlta is a Canadian non-regulated electric generator with 8,000 MW of capacity mostly located in Alberta and the North West US. It has a good mix of low-risk, long-lived assets, 58% of which are coal-fired (mostly supplied from its own multi decade reserves), 27% gas-fired, and 15% hydro and renewables. The Alberta power market is expected to remain very tight given the difficulty and cost of adding new capacity, full transmission and robust economic demand based primarily on existing oil and gas production.

TransAlta maintains a portfolio of medium and long term power sales contracts, many of which are materially below current market prices. The long term contracts have “change in law” clauses that insulate the company against new costs, such as C02. We believe the combination of these factors should sustain power prices going forward which in turn should drive a significant increase in earnings and cash flow when the contracts expire.
Historically management has underperformed both financially and strategically. This is now improving, partly as a result of shareholder pressure. Since 1H2007 TransAlta has re-focused on its core Alberta and US markets, improved operational performance and is in the process of selling noncore assets. TransAlta now generates visible operating cash flow of

$800-$1bn pa. Consequently, shareholder returns are improving through increased dividend growth (8% in 2008, the first increase for 10 years) and an ongoing share buyback programme. The mid-year CEO letter to shareholders dated 18 September emphasised that the company is on target for another strong year of results including double digit earnings growth and strong cash flow. Since the summer the stock collapsed from $35 to $20. We believe TransAlta offers an attractive valuation with a forecast unlevered IRR of 13%, levered IRR of 20% and a double digit free cash flow yield at the current share price of $21.

On 21st July TransAlta announced that it had received a non-binding letter from LS Power Equity Partners and Global Infrastructure Partners proposing a possible acquisition of TransAlta for C$39 per share in cash. On 6th August, the Board of Directors unanimously concluded that the proposal from LSP/GIP "undervalues the company" and LS Power has withdrawn its proposal last week.

Short Positions

Hynix

Our short position in Hynix worked well and the share came off 23% this quarter as semiconductor memory prices collapsed as demand was weak despite severe price cuts. DRAM spot prices fell almost 40% and most DRAM producers are now facing cash costs to exceed DRAM prices. Hynix will probably face renewed selling pressure in the 4th quarter as local creditors, who own 36% of Hynix, have announced their intention to dispose of their stake.

The market cap is $7.5bn today and consolidated debt is $5.5bn. Sales are $7bn with EBITDA of $2bn this year and next year with sustainable capex of $3bn. Hynix will probably phase out of flash which will change the numbers to sales of $6bn, EBITDA $1.8bn and normal capex of $2.4bn. The high net debt of the company and structural lack of free cash generation make us believe the equity has no value.

Asian Consumer Electronic Stock Shorts

Over the last 4 months, the Asia team initiated several short positions in companies that manufacture or sell consumer electronic products in the rest of the world.

All these companies suffer from several issues:

(1) Earnings estimate that are 15-25% too high;

(2) Long term margins in decline due to commoditisation and competition;

(3) Large FX rate move against them ; and

(4) Optically high multiples.

These companies sell products that range from mobile handsets, LCD TV, cameras and printers, all of which have benefited immensely from high availability of credit and personal wealth creation in US and Europe over last 5 years. This effect will take a number of years to normalise, materially hurting consumer electronics stocks.

4. Outlook

It is clear that risks to financial markets and the economy remain very high given the severe dislocation in the credit markets. Banks will take many years to deleverage and the credit in the real economy will contract significantly. On the positive side it seems clear that governments will make strong efforts to nationalise and recapitalise the banking system and avoid bankruptcy of banks.

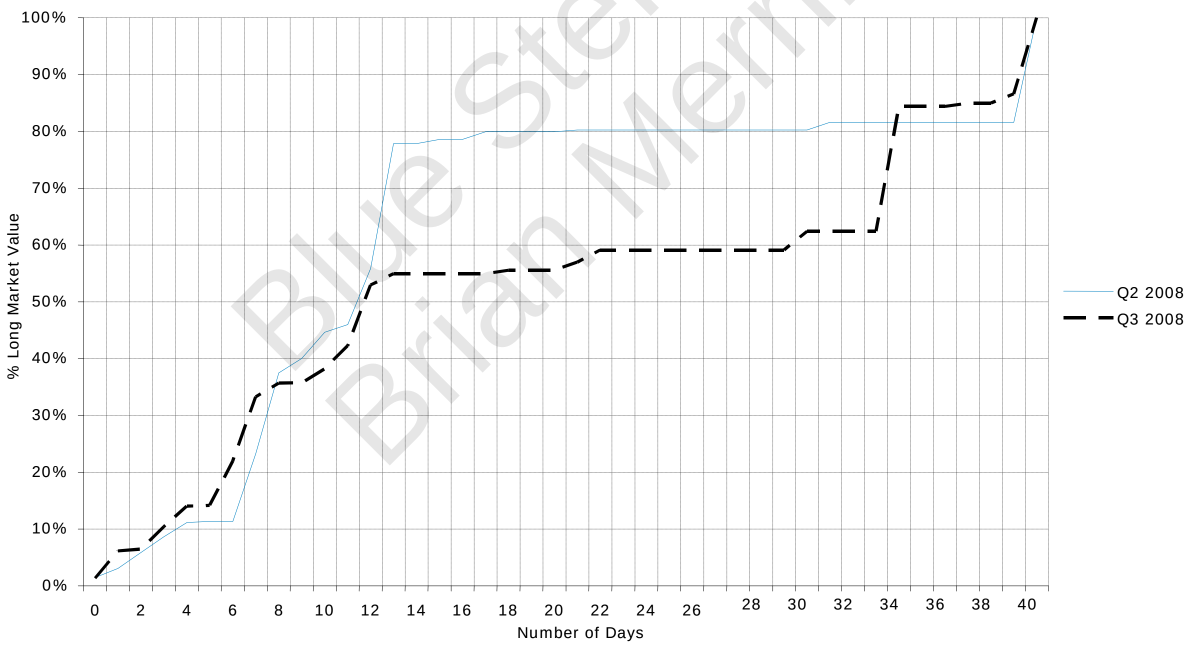
The hedge fund industry's future and size are being structurally challenged by the events of this year causing significant impact on forced liquidation of securities everywhere.

Despite the severe dislocations and meltdown in markets we believe we own a portfolio of high quality equities that are beaten down far below intrinsic value even in a strong protracted economic downturn and have the potential in a moderate recession to compound at 20% annual returns for the next 5 years. We think it would be a severe mistake to hedge indices and put on large short exposure at this point in time. Our expectation is that we may change our mix of investments somewhat but will stay fully invested with limited use of leverage.

Unfortunately we cannot say over what time horizon our portfolio will work and investors will need to have patience to ride out this storm.

5. Liquidity Analysis

The Children's Investment Master Fund - Liquidity Profile Q3-End



Notes: Liquidity is based on the average three-month trading volume data from Bloomberg assuming 100% of trading. Analysis is based upon long positions only.
Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

Due to the general market drop in trading volumes, the fund's liquidity somewhat worsened over the quarter. Overall our portfolio in the US and Europe is in liquid large cap names.

6. Counterparty Risk

Counterparty Environment

Given the recent market turmoil and especially concerns over counterparty risk, we wanted to update you on The Children's Investment Master Fund's exposure to our custodian and various prime brokers and swap counterparties:

- Global custodian: HSBC
- Existing prime brokers: Deutsche Bank, Morgan Stanley, UBS, Goldman Sachs
- Swap counterparties: Citi, CSFB, JP Morgan, Merrill Lynch

- Repo counterparty: Barclays

Our best estimates of our current exposures are shown below but these are in a process of change daily.

92% of the fund's NAV is currently segregated with HSBC or separated at the prime brokers. This means that these assets are segregated from other customer assets and are readily identifiable as belonging to the fund.

HSBC, our primary custodian, currently holds approximately 82% of our NAV in physical securities. These assets are segregated from HSBC assets as well as from other customers. Deutsche Bank is currently holding 11% of the fund's NAV of which 9% is in a segregated account. Our exposure to Morgan Stanley is now less than 0.5% of the fund's NAV. UBS is currently holding a further 1% of the fund's NAV, the majority in an account segregated from other customers. Our exposure to Goldman Sachs is limited to 1% of the fund's NAV in the form of cash which is client money protected under FSA rules and held in banks external to Goldman Sachs. We have immaterial exposure to Merrill Lynch. The fund has 2% of its NAV currently exposed to Citigroup and JP Morgan. And, Credit Suisse currently has 1% of NAV exposure.

We have worked extremely hard over the last year to prepare for the potential collapse of the investment banks by moving the vast bulk of our exposures to a custodian relationship with HSBC and segregation with Deutsche Bank and limit our exposure significantly to any other investment bank.

7. Personnel

During the quarter, the firm hired Oscar Hattink and Alessandro Butini. Oscar is an analyst with a wealth of experience from Gandara, Blackstone, Morgan Stanley and Cross Options who will work with Oscar Veldhuijzen on emerging markets. Alessandro Butini, who previously worked at Morgan Stanley, will work with the London based trading team for the fund alongside Tim Keough and Andrew Black.

8. Investor Relations

2009 Investor Conference

The 2009 Investor Conference dates have now been confirmed. The venue will, once again, be the Waldorf=Astoria. Save the date reminders and formal invitations will follow in due course:

- June 15, 2009: TCI Affiliates Day
- June 16, 2009: TCI Investor Day

9. TCI Affiliated Investment Managers

a. Algebris

The firm is currently open to new investments as the team sees many opportunities in the financials space over the coming year.

b. KDA Capital

KDA Capital currently remains closed.

c. Parvus

Parvus is selectively open to new investments. The team feel Europe has the most compelling opportunities they have seen in the last ten years.

9. Conclusion

For information on TCI and its affiliates please contact Rahul Moodgal at rahul@cliffordstreet.com or on +44 20 7440 2384.

During these difficult market conditions we thank you for your continued trust and support.

Christopher Hohn
Managing Partner
October 2008

Private and Confidential

Appendix 1 – TCI Fund Performance Since Inception

Period	Assets (€m)	Class A (3yr) $	Class A (3yr) €	Class B (5yr) $	Class B (5yr) €	Class C (5yr) $	Class C (5yr) €	MSCI World ($)
Jan 2004	375	+1.36%	+1.44%	+1.41%	+1.49%			+1.54%
Feb 2004	532	+5.08%	+5.09%	+5.26%	+5.27%			+1.55%
Mar 2004	554	+2.75%	+2.93%	+2.78%	+2.97%			-0.89%
Q1 2004		**+9.44%**	**+9.73%**	**+9.71%**	**+10.01%**			**+2.20%**
Apr 2004	735	+3.70%	+3.88%	+3.77%	+3.92%			-2.22%
May 2004	872	+0.40%	+0.45%	+0.43%	+0.47%			+0.67%
Jun 2004	1,081	+2.82%	+2.86%	+2.90%	+2.93%			+1.91%
Q2 2004		**+7.05%**	**+7.33%**	**+7.23%**	**+7.47%**			**+0.32%**
Jul 2004	1,088	-0.24%	-0.20%	-0.24%	-0.20%			-3.34%
Aug 2004	1,114	+0.85%	+0.94%	+0.88%	+0.97%			+0.26%
Sep 2004	1,173	+4.86%	+4.90%	+5.00%	+5.05%			+1.77%
Q3 2004		**+5.50%**	**+5.67%**	**+5.67%**	**+5.86%**			**-1.38%**
Oct 2004	1,187	+2.35%	+2.34%	+2.41%	+2.41%			+2.37%
Nov 2004	1,435	+4.93%	+5.09%	+5.31%	+5.24%			+5.09%
Dec 2004	1,589	+6.94%	+6.86%	+7.13%	+7.05%			+3.73%
Q4 2004		**+14.85%**	**+14.93%**	**+15.54%**	**+15.37%**			**+11.59%**
2004		**+41.95%**	**+43.04%**	**+43.65%**	**+44.39%**			**+12.84%**
Jan 2005	1,960	+6.45%	+6.51%	+6.68%	+6.75%			-2.31%
Feb 2005	2,265	+3.80%	+3.83%	+3.90%	+3.99%			+3.01%
Mar 2005	2,275	-1.07%	-1.04%	-1.07%	-1.09%			-2.17%
Q1 2005		**+9.32%**	**+9.44%**	**+9.65%**	**+9.80%**			**-1.55%**
Apr 2005	2,502	-0.02%	-0.05%	-0.02%	-0.05%			-2.39%
May 2005	2,856	+3.46%	+3.46%	+3.59%	+3.59%			+1.52%
Jun 2005	3,271	+6.15%	+6.15%	+6.35%	+6.34%			+0.71%
Q2 2005		**+9.80%**	**+9.77%**	**+10.14%**	**+10.10%**			**-0.21%**
Jul 2005	3,624	+4.47%	+4.41%	+4.61%	+4.54%			+3.43%
Aug 2005	3,754	+2.03%	+1.88%	+2.08%	+1.94%			+0.56%
Sep 2005	4,055	+7.11%	+7.03%	+7.31%	+7.23%			+2.47%
Q3 2005		**+14.17%**	**+13.86%**	**+14.59%**	**+14.27%**			**+6.57%**
Oct 2005	4,050	-3.68%	-3.80%	-3.77%	-3.90%			-2.49%
Nov 2005	4,605	+5.06%	+5.06%	+5.20%	+5.19%			+3.14%
Dec 2005	5,421	+7.92%	+7.72%	+8.12%	+7.91%			+2.14%
Q4 2005		**+9.21%**	**+8.86%**	**+9.45%**	**+9.08%**			**+2.73%**
2005		**+49.66%**	**+48.90%**	**+51.48%**	**+50.68%**			**+7.56%**
Jan 2006	5,782	+6.38%	+6.10%	+6.61%	+6.32%			+4.41%
Feb 2006	6,012	+3.97%	+4.15%	+4.12%	+4.05%			-0.29%
Mar 2006	6,809	+3.72%	+3.27%	+3.84%	+3.63%	+3.65%	+3.44%	+1.96%
Q1 2006		**+14.71%**	**+14.11%**	**+15.26%**	**+14.64%**	**+3.65%**	**+3.44%**	**+6.14%**
Apr 2006	7,183	+5.91%	+5.64%	+6.10%	+5.82%	+5.80%	+5.54%	+2.87%
May 2006	6,225	-9.18%	-9.11%	-9.64%	-9.39%	-9.56%	-9.57%	-3.72%
Jun 2006	6,767	+3.38%	+3.27%	+3.71%	+3.39%	+3.96%	+3.93%	-0.18%
Q2 2006		**-0.56%**	**-0.84%**	**-0.57%**	**-0.87%**	**-0.53%**	**-0.81%**	**-1.13%**
Jul 2006	7,495	+3.75%	+3.61%	+3.87%	+3.72%	+3.68%	+3.54%	+0.55%
Aug 2006	7,828	+3.71%	+3.50%	+3.83%	+3.60%	+3.37%	+3.43%	+2.38%
Sep 2006	7,843	+0.03%	-0.12%	+0.03%	-0.12%	+0.00%	-0.12%	+1.07%
Q3 2006		**+7.63%**	**+7.11%**	**+7.88%**	**+7.32%**	**+7.17%**	**+6.96%**	**+4.05%**
Oct 2006	8,307	+4.01%	+3.88%	+4.13%	+3.99%	+3.72%	+3.29%	+3.61%
Nov 2006	8,615	+3.04%	+2.93%	+3.13%	+3.01%	+2.99%	+2.88%	+2.27%
Dec 2006	8,945	+5.63%	+5.53%	+5.78%	+5.69%	+5.54%	+5.44%	+1.95%
Q4 2006		**+13.21%**	**+12.84%**	**+13.60%**	**+13.22%**	**+12.74%**	**+12.05%**	**+8.02%**
2006		**+38.99%**	**+36.76%**	**+40.45%**	**+38.08%**	**+24.57%**	**+22.97%**	**+17.95%**
Jan 2007	9,460	+2.05%	+1.99%	+2.12%	+2.05%	+2.05%	+1.99%	+1.12%
Feb 2007	9,474	-1.25%	-1.27%	-1.29%	-1.31%	-1.25%	-1.27%	-0.65%
Mar 2007	10,145	+6.78%	+6.63%	+7.02%	+6.86%	+6.78%	+6.63%	+1.59%
Q1 2007		**+7.61%**	**+7.37%**	**+7.88%**	**+7.62%**	**+7.61%**	**+7.37%**	**+2.06%**
Apr 2007	10,762	+4.99%	+4.81%	+5.17%	+4.98%	+4.99%	+4.81%	+4.21%
May 2007	11,151	+4.38%	+4.30%	+4.52%	+4.46%	+4.38%	+4.30%	+2.47%
Jun 2007	10,971	-2.34%	-2.43%	-2.41%	-2.51%	-2.34%	-2.43%	-0.90%
Q2 2007		**+7.02%**	**+6.67%**	**+7.27%**	**+6.91%**	**+7.02%**	**+6.67%**	**+5.82%**
Jul 2007	11,056	+0.98%	+0.86%	+1.02%	+0.89%	+0.98%	+0.86%	-2.28%
Aug 2007	10,123	-5.97%	-6.14%	-6.16%	-6.35%	-5.97%	-6.14%	-0.27%
Sep 2007	11,308	+9.24%	+8.85%	+9.56%	+9.16%	+9.24%	+8.85%	+4.61%
Q3 2007		**+3.73%**	**+3.04%**	**+3.86%**	**+3.13%**	**+3.73%**	**+3.04%**	**+1.95%**

Period	Assets (€m)	Class A (3yr) $	Class A (3yr) €	Class B (5yr) $	Class B (5yr) €	Class C (5yr) $	Class C (5yr) €	MSCI World ($)
Oct 2007	12,048	+8.13%	+8.03%	+8.37%	+8.31%	+8.13%	+8.03%	+2.99%
Nov 2007	12,263	+3.62%	+3.55%	+3.72%	+3.67%	+3.62%	+3.55%	-4.24%
Dec 2007	12,643	+2.79%	+2.76%	+2.86%	+2.86%	+2.79%	+2.76%	-1.37%
Q4 2007		**+15.17%**	**+14.95%**	**+15.62%**	**+15.50%**	**+15.17%**	**+14.95%**	**-2.74%**
2007		**+37.59%**	**+35.66%**	**+38.97%**	**+37.04%**	**+37.59%**	**+35.66%**	**+7.09%**
Jan 2008	11,239	-6.24%	-6.38%	-6.24%	-6.60%	-6.24%	-6.38%	-7.71%
Feb 2008	10,714	-2.70%	-2.56%	-2.70%	-2.65%	-2.70%	-2.56%	-0.74%
Mar 2008	10,187	-1.05%	-0.83%	-1.05%	-0.86%	-1.05%	-0.83%	-1.25%
Q1 2008		**-9.73%**	**-9.54%**	**-9.73%**	**-9.86%**	**-9.73%**	**-9.54%**	**-9.53%**
Apr 2008	12,073	+8.37%	+8.61%	+8.37%	+8.91%	+8.37%	+8.61%	+4.98%
May 008	12,709	+3.30%	+3.38%	+3.30%	+3.50%	+3.30%	+3.38%	+1.11%
Jun 2008	10,922	-12.96%	-12.68%	-12.96%	-13.12%	-12.96%	-12.68%	-8.10%
Q2 2008		**-2.56%**	**-1.96%**	**-2.56%**	**-2.07%**	**-2.56%**	**-1.96%**	**-2.45%**
Jul 2008	11,233	+1.81%	+2.02%	+1.81%	+2.09%	+1.81%	+2.02%	-2.53%
Aug 008	11,639	-2.60%	-2.46%	-2.60%	-2.54%	-2.60%	-2.46%	-1.60%
Sep 2008	10,257	-14.88%	-15.08%	-14.88%	-15.61%	-14.88%	-15.08%	-12.08%
Q3 2008		**-15.59%**	**-15.49%**	**-15.59%**	**-16.04%**	**-15.59%**	**-15.49%**	**-15.67%**
2008		**-25.76%**	**-25.05%**	**-25.76%**	**-25.88%**	**-25.76%**	**-25.05%**	**-25.58%**
Annualised		+26.17%	+25.68%	+27.35%	+26.48%	n/a	n/a	+2.82%
Inception		+201.62%	+196.11%	+215.30%	+205.22%	n/a	n/a	+14.10%

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures refer to those since January 1, 2004 inception.
Source: Citco Fund Services (Dublin) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP.